



JOB SIMULATION PROJECT SUMMARY

[BCG] Digital Transformation

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COMPETITOR BENCHMARKING

2 LEADING COMPANIES BACKGROUND & CHALLENGES

Starbucks



Background

Starbucks Corporation is an American multinational chain of coffeehouses and roastery reserves headquartered in Seattle, Washington.



Challenges

- Decreasing in sales growth.
- Threatened by competition from companies in the same industry
- Intergrated and technology advance

Domino's Pizza



Background

Domino's Pizza is a pizza delivery company founded in the United States with 17,100 stores in more than 90 countries. Domino's serves various fastfood such as pizza, pasta, sandwiches, chicken,...



Challenges

- High competitiveness in fastfood industry
- Intergrated and technology advance.
- Decreasing in sales growth.

App Effectiveness

Starbucks

- Over 10 million downloads, 4.7/5.0 star on Google Play. 5.9 million ratings; 4.9/5.0 star on App Store.
- According to Numerator survey data, 61,4% of Starbucks guests use the Starbucks app in 2019.
- 71% app users visit the chain at least once a week.
- Consolidated net revenues in 2021 is \$8.1 billion (increased 31% compared to 2020)
- Starbucks Rewards loyalty program increased to 24.8 million, up 28% year-over-year

Domino's Pizza

- Over 10 million downloads on Google Play. Over 5 million ratings; 4.8,5.0 star on App Store.
- The company's online orders have improved by 44.5%.
- Since the launch of its mobile solution, the business has turned over £450 million per year, in mobile sales alone.

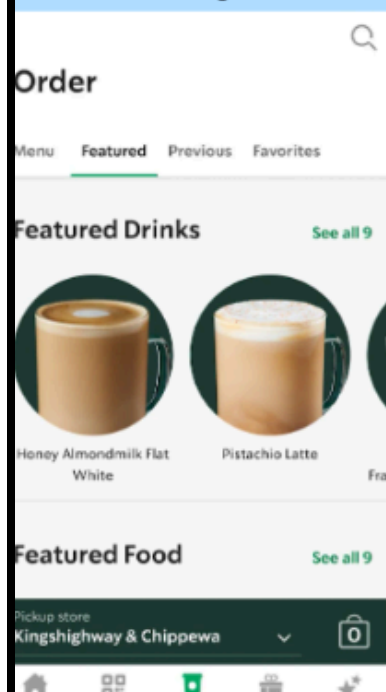
Starbucks App

Goal: Extract higher sales and build customer loyalty.



KEY FEATURES

- **App layout:** simple, elegant, appealing to the user. Quick and easy navigation
- **Geo- location:** see which Starbucks store is the closest, the menu at each location and also place an order. Automatically select the location.
- **Personalization:** Based on customer's favorite order to suggest food items paired well with that orders. Keep track of what customers have ordered in the past and what is favorite to place order.
- **Customization:** free beverage on user's birthday, personalized suggestions based upon past orders.
- **Loyalty rewards:** The more money customers spend at Starbucks, the more rewards points they earn.
- **Supplying gift cards** for customers for nearly every occasion, suggesting cards for holidays.
- **Ordering system:** Coupled with notifications from the app or email blasts, Starbucks creates interest in new menu items long before the customer sets foot in the store.

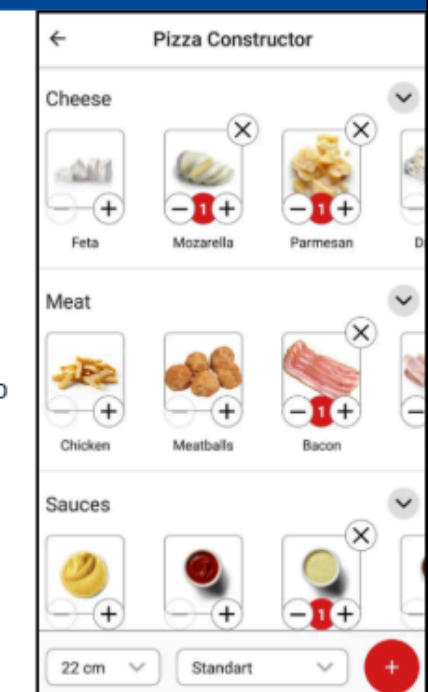


Domino's Pizza App

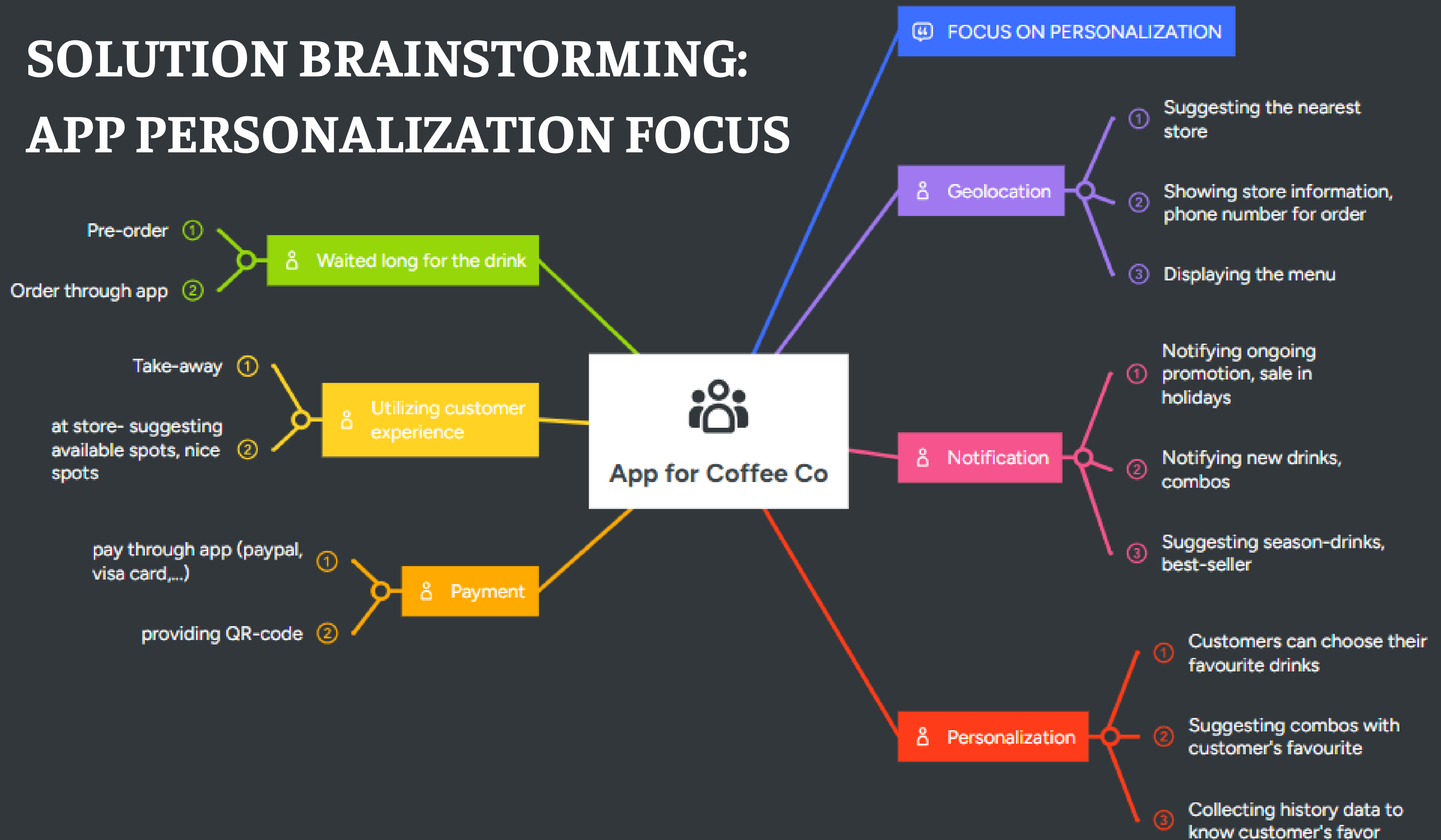
Goal: Increasing operational efficiency and revenue stream

KEY FEATURES

- **Customization:** Customizing the favorite pizza combinations and ordering
- **Loyalty rewards:** Earning points on every order and redeeming the points for a free order.
- **Supplying gift cards** for customers for nearly every occasion, suggesting cards for holidays.
- **Ordering system:** Order via tweet, smart watches and TVs, in-car entertainment systems, social media.
- **Taking orders online:** (rather than on the phone or in person) allows Domino's to eliminate data entry steps from its operations, which frees up its labor force to focus on making and delivering pizza.
- **Pizza Tracker:** allowing customers to track the progress of their online orders via the Domino's website



SOLUTION BRAINSTORMING: APP PERSONALIZATION FOCUS



COFFEECO'S CUSTOMER JOURNEY MAP



Notice a CoffeeCo shop down the street.

- Not aware of the location of the nearest store when travelling

- Found out that the nearest store is within 200m walking distance

Thinking if she should stop by for a drink for her routine caffeine fix

- Noticed there is a long queue in store

- Noticed there is a ongoing promotion in-store

Looks at the menu to select a drink

- Irritated that the barista does not remember her favourite drink when travelling

- Noticed the store introduced new festive drink

Queue, make payment, and wait for the drink

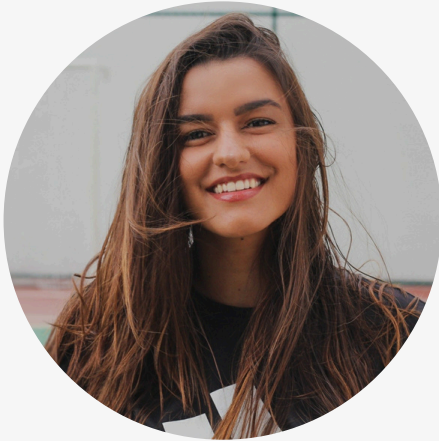
- Long line at the cashier
- Waited very long for the drink

- Receive warm greeting by cashier
- Got a personalized drink

Find a table

- Unable to find a table because the store is packed with customers

- Managed to find a nice spot in the store to enjoy the coffee



Christy
Working professional
Single, 28

Potential pain points

Potential delighters

PROPOSED APP FEATURES ACROSS CUSTOMER JOURNEY STAGES

FOCUSING ON PERSONALIZATION

01 Pre-visit stage

- **Geolocation:** suggesting the nearest store, showing store information, phone number and displaying the menu.
- **Notification:** Notifying ongoing promotion, sale in holidays; suggesting season-drinks, best-seller in store.

02 In-store experience

- **Pre-order** through app to not to wait long for the drink
- **Available spots:** suggesting available, nice spots and best view spots.
- **Payment:** providing QR-code to customer, paying on app.
- **Drink suggestion:** Suggesting combos with customer's favourite, choosing favourite drinks based on history data

03 Post-visit stage

- **Loyalty program:** Providing loyalty program rewards (earning points, loyalty points, bonus points,...)
- **Ads:** Personalizing ads to re-engage customers
- **Feedback:** Sending survey each 6-month to collect feedbacks and tailor future experience.

PILOT PERFORMANCE

	Pilot 1	Pilot 2
Total Revenue	5863.74\$	8172.15\$
Total Profit	3352.04\$	5917.35\$
ARPU	4.64\$	7.72\$
APPU	2.65\$	5.59\$
Total No. of customers	1263	1058

Description:

- Pilot 1: 10% offer on L drink
- Pilot 2: Compliment your L drink with food at 50% discount

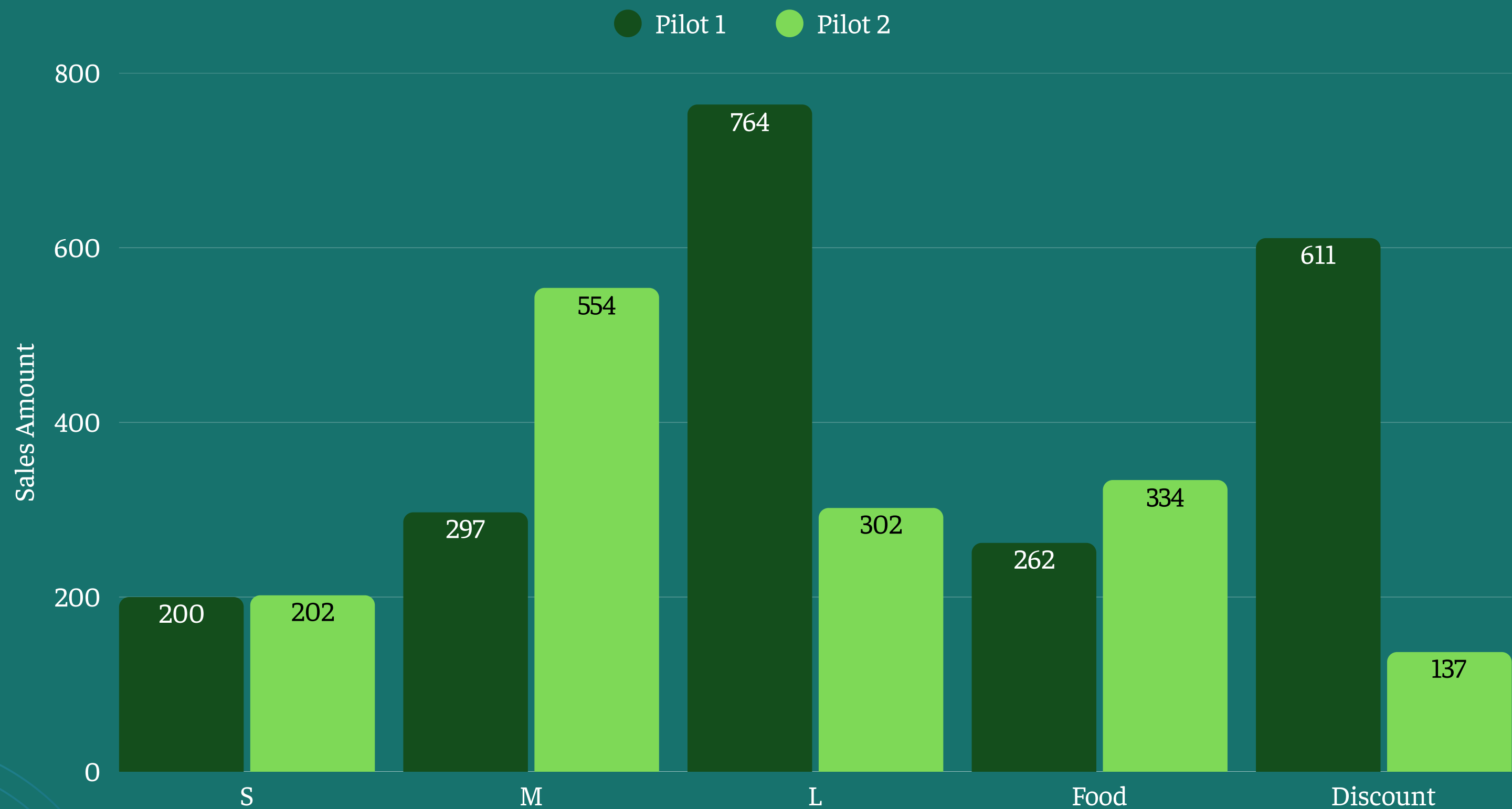
Insights

Overall, pilot 2 is more effective than pilot 1 in both total revenue and total profit, ARPU and APPU.

Analyzed data illustrates average revenue of each customer in pilot 2 is higher than that of pilot 1. Similarly, pilot 2 is more profitable.

However, the number of customers in pilot 2 are recorded lower than pilot 1, which is showed that pilot 2 focused more on increasing the average order value rather than increasing the number of customers.

THE EFFECTIVENESS OF 2 PILOTS



Customers tended to choose 10% offer on L drink, which shows that pilot 1 is more effective than pilot 2 with 48.38% discount on customers from 8th to 15th January.